

Balancing Innovation, Investor Interests and Data Privacy in Africa's Digital Health Start-Up Ecosystem: **Lessons from the Rocket Health Case**



POLICY BRIEF: October 2025

1. Introduction

The rapid growth of Africa's digital health ecosystem has created significant opportunities for improving healthcare delivery, expanding access and generating employment. Start-ups such as **Rocket Health** which is operated by The Medical Concierge Group Ltd (MCG) have become pioneers in telemedicine, e-pharmacy and health data innovation. However, the recently concluded interim dispute in *Medical Concierge Group Ltd v. Musinguzi Davis Musiimenta*¹ and the pending main suit (herein referred to as The Rocket Health case) exposes the fragility of governance structures, data protection safeguards and dispute resolution mechanisms within this critical sector.

As the digital health landscape expands, questions arise about how best to protect user and patient data, ensure investor confidence and sustain innovation amidst legal and commercial disputes. This policy brief examines the implications of the Rocket

The Rocket Health case exposes the need to balance startup governance, data protection and effective dispute resolution within Africa's digital health sector.

¹ *Medical Concierge Group Ltd v. Musinguzi Davis Musiimenta* Misc. Application No. 1408 of 2025
<https://ulii.org/en/akn/ug/judgment/ugcommc/2025/371/eng%402025-09-24>.

Health case and proposes reforms to strengthen Uganda's regulatory and judicial response to disputes in sensitive digital sectors.

2. Case Brief

The Applicant, the Medical Concierge Group Ltd (TMCG), a provider of telemedicine services under the Rocket Health brand, applied for a temporary injunction restraining its founder, former Chief Executive Officer and director, Dr. Musinguzi Davis Musiimenta, from holding himself out as a director and from exercising control over key digital platforms. The digital assets in contention included Google Workspace, Amazon Web Services (AWS) servers, and the company's **Electronic Medical Records (EMR) system** which are integral to the Applicant's health-service delivery and contain confidential patient information.

The Court declined to grant the injunction relying on the elementary principles buttressed in *E.L.T. Kiyimba Kaggwa v. Haji A.N. Katende*,² which established the principles that the central purpose of such an injunction is to maintain the status quo pending the final determination of the parties' substantive rights at trial and that it will only be granted where the applicant demonstrates a prima facie case with a probability of success, a likelihood of suffering irreparable harm that cannot be compensated by damages and that the balance of convenience favors preserving the applicant's position.

Court concluded that granting the orders sought would disturb rather than preserve the status quo and would pre-empt issues reserved for the main suit, including questions surrounding the Respondent's status as a director and the alleged acts of intermeddling. The Court therefore dismissed the application with costs, holding that interlocutory relief must not operate to determine substantive questions before trial.

3. Implications

Although the main suit remains pending before the High Court, the interlocutory decision underscores the urgent need for more robust policy and legal frameworks to avert operational paralysis in digital health enterprises and to safeguard data protection obligations during internal disputes. It raises fundamental questions about who lawfully controls sensitive health data amid corporate conflicts, the mechanisms that ensure service continuity and patient data security when governance structures collapse and the adaptive role of courts and legal practitioners in navigating such complex, data-driven disputes as discussed below.

3.1. Vulnerability of Digital Health Start-Ups

Many Ugandan start-ups particularly in the health and fintech sectors operate under weak corporate governance structures and informal investor arrangements. Such fragility increases exposure to legal and operational risks particularly when internal disputes arise potentially affecting service continuity and data protection.

3.2. Exposure of Personal and Health Data during Disputes

Corporate disputes can lead to unauthorized access to databases, emails, or servers containing sensitive health and biometric information. Under Section 20 of the Data Protection and Privacy Act Cap 97. ([DPPA](#)), data controllers are obligated to implement appropriate technical and organizational measures to protect personal data against accidental loss, destruction or unlawful processing. Any breach of these obligations constitutes a criminal offence under Section 35.

² *E.L.T. Kiyimba Kaggwa v. Haji A.N. Katende* (1985) HCB 43.

3.3. Judicial Delays and Economic Impact

Lengthy litigation stifles innovation and undermines investor confidence. Delayed dispute resolution prolongs uncertainty over management control and risks exposure of personal data, an issue inconsistent with the constitutional right to privacy under Article 27 of the Constitution of Uganda (1995) and Article 17 of the International Covenant on Civil and Political Rights (ICCPR) which guarantees individuals protection against arbitrary interference with privacy.

3.4. Regulatory Gaps in Emergency Data Protection

The Personal Data Protection Office (PDPO) has the statutory mandate to oversee data protection compliance under Sections 4 and 8 of the DPPA. However, there remains a gap in rapid-response mechanisms or emergency audits during corporate crises that may have adverse consequences for data protection. In such cases, the PDPO must be proactive in conducting compliance audits and issuing interim directives to safeguard the public interest.

3.5. Public Trust, Ethics and Professional Conduct

The Rocket Health case has generated public concern about the ethical duties of start-ups and their legal representatives. Lawyers handling such disputes must navigate the intersection of commercial law, data protection law and public interest to ensure that litigation strategies do not exacerbate data risks or erode public trust in the digital health ecosystem.

4. Policy Recommendations

4.1. Expedite the Disposal of Start-Up Disputes

The Judiciary should prioritize the expeditious disposal of cases involving start-ups in data-sensitive sectors. Prolonged litigation not only cripples innovation but also undermines the right to privacy and the country's digital economy. Courts should establish fast-track mechanisms for disputes involving data, intellectual property and innovation.

4.2. Integrate Data Privacy in temporary Relief Proceedings

Courts should evolve equitable doctrines which reflect contemporary realities of the digital economy. When granting temporary injunctions or interim orders, the balance of convenience should take into account the risk of data exposure. The irreparable harm arising from potential breaches of health data must also guide judicial discretion given the sensitivity and special nature of health-related data and the potential harm that may arise. Protection of data privacy should thus form part of the status quo to be preserved during litigation.

4.3 Strengthen PDPO's Oversight and Proactive Role

The PDPO should take an active role in cases where public data integrity is threatened, even if such matters are before court. The existence of ongoing litigation should not preclude the PDPO from (a) conducting compliance audits under Regulation 31 of the Data Protection and Privacy Regulations, 2021 (b) requiring data breach notifications under Section 25 of the DPPA and (c) imposing administrative or criminal sanctions on non-compliant entities. This proactive oversight aligns with the African Union Convention on Cybersecurity and Personal Data Protection (Malabo Convention, 2014) which Uganda is yet to ratify, and UN General Comment No. 16 (1988) under the International Covenant on Civil and Political Rights ICCPR, which emphasize state responsibility to protect privacy through effective regulation of private entities.

4.4. Promote Responsible Legal Practice in Digital Health Litigation

Lawyers should adopt rights-based approaches when handling digital health disputes including the use of public-interest litigation, amicus briefs or alternative dispute resolution mechanisms that minimize public harm. The Uganda Law Society should promote continuing education on data governance, digital health ethics and technology law practice.

4.5. Enhance Corporate Legal Preparedness

Founders should engage competent and experienced legal counsel from the inception of their ventures to ensure that their enterprises are structured on sound legal foundations. This includes selecting the most appropriate business vehicles, drafting comprehensive shareholder and investment agreements and incorporating clear intellectual property ownership, data governance, and conflict-resolution clauses. Early legal preparedness not only safeguards founders' and investors' interests but also ensures business continuity, regulatory compliance and the protection of data subjects' rights in the event of internal disputes or leadership transitions. Strengthening legal governance from the outset is therefore essential to building resilient, trustworthy, and sustainable digital health enterprises.

4.6. Promote Ethical and Inclusive Investor-Founder Relations

Investors should adopt approaches that balance their commercial interests with the rights and aspirations of African founders, fostering partnerships rooted in fairness, respect and sustainability. While the removal of a founder may be legally permissible, such action often raises ethical and moral concerns that contravene the African philosophy of *Ubuntu* which values community, shared growth and human dignity. Accordingly, founder dismissal should be a measure of last resort, taken only after good-faith dialogue, mediation and equitable restructuring efforts have been exhausted. Embedding Ubuntu-informed investment ethics into corporate governance will not only protect innovation and talent but also strengthen trust, accountability and long-term growth within Africa's digital health start-up ecosystem.

Start-up disputes can expose sensitive health data to unauthorized access and breaches. The Judiciary should expedite such cases and consider the personal data implications of its decisions. The PDPO must adopt urgent measures to address and prevent data protection risks arising from start-up disputes.

4.7. Develop a National Digital Health Governance Framework

The Minister of ICT and National Guidance in collaboration with the Ministry of Health, should leverage existing frameworks to develop a legally binding National Digital Health Governance Framework to guide start-ups operating in health technology. The framework should *inter alia* integrate (a) data protection and cybersecurity standards for start-ups (b) investor and founder governance protocols and (c) rapid dispute resolution mechanisms to safeguard public trust and national innovation capacity.

4.8. Establish A Technology & Digital Division of the High Court

The Judiciary of Uganda should establish a dedicated Technology and Digital Division of the High Court to function as a fast-track mechanism for complex technology and data disputes. Concurrently, all judges must undergo continuous professional and technical training to competently adjudicate complex legal questions in the digital transformation and innovation. This specialization is vital for minimizing judicial delays, protecting national innovation capacity and enhancing investor confidence.

4.9. Undertake Advocacy and Activism to Address Structural and Systemic Issues

Human Rights Defenders (HRDs) and civil society organizations should mobilize and coordinate advocacy efforts to confront structural and systemic challenges that threaten data privacy. This includes pursuing strategic public interest litigation, driving civic education campaigns and building grassroots movements that empower communities to demand accountability and transparency in the handling of personal data, especially during periods of governance instability or political tension.

5. Conclusion

The Rocket Health case demonstrates that as Africa's digital health sector grows, innovation and data protection must co-evolve. Legal and regulatory institutions must adapt to new realities where patient data is both a valuable resource and a protected right. Expeditious judicial processes,

proactive regulatory oversight and responsible legal practice are essential for balancing the interests of founders, investors and users. Ultimately, safeguarding personal data privacy is not only a statutory and constitutional obligation but also a pillar for innovation, investor confidence and public trust in Uganda's digital transformation

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Acknowledgment

The conceptualization and writing of this policy brief were led by Ssekamwa Frank. All authors jointly contributed to the writing, review and editing of the brief. The team extends sincere appreciation to the various stakeholders and practitioners who shared their insights, experiences and perspectives which greatly enriched the depth and relevance of this work. Your valuable contributions are deeply acknowledged and appreciated.

Cite this brief

Ssekamwa Frank, Kalivayo Blair, Nakitende Sauda, Kaggwa Raymond, Mercy Awino and Matama Catherine 'Balancing Innovation, Investor Interests and Data Privacy in Africa's Digital Health Start-Up Ecosystem: Lessons from the Rocket Health Case' SSRN November 2025.

About OnetechConnect

OneTechConnect (OTC) is a youth-led civil society organization that promotes advances digital justice in Africa through research, advocacy, training, innovation and strategic litigation. We focus in the crucial areas of digital health, Agitech, FinTech and Development.



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